



The good, the bad and the ugly

September 03, 2026

- As the summer holidays come to an end, we take a look at the three questions that are likely to occupy our time in the months ahead: Is the euro area economy proving resilient to the energy shock? Will the ECB stop at 2.50% or continue hiking until policy is restrictive? And will public finances and elections prove a destabilising combination?
- The European economy is proving remarkably resilient, with some elements of positive demand shock offsetting the negative energy supply shock. Expectations are improving, but some caution is still needed: the energy shock is not over and the AI trade deficit is widening.
- With respect to the ECB, a rapid normalisation of energy prices may be needed to stop the hiking cycle at 2.50%. That said, the inflation outlook is not yet consistent with an outright restrictive stance either.
- Budget season is about to begin, debt dynamics are vulnerable and elections imply political risk and market volatility. The degree of tightening of financial conditions will be a function of political choices, the resilience (or not) of growth and the restrictiveness (or not) of ECB policy.

Q1: Is the euro area economy proving resilient to the energy shock?

Strictly speaking, as a net energy importer the euro area should be highly exposed to the negative energy supply shock triggered by the Iran war. In any case, HICP inflation jumped to 3.0% in Q2, 1.2pp higher than expected at the start of the year. The household real income shock alone should have knocked more than 0.5pp off GDP.

And yet euro area GDP was not weak in Q2, it was surprisingly strong. At 0.44% qoq, GDP growth exceeded expectations. We don't have detailed components yet, but on the basis of available data household consumption grew despite the inflation shock.

It is possible that elevated household savings buffered the real income shock on the assumption that it would be fleeting. There was also a targeted and temporary easing of fiscal policy (lower energy taxes), but this was not substantial and only moderated the rise in inflation slightly. That said, the euro area fiscal stance was already easy for 2026. Not nearly as easy as 2022, and skewed heavily towards Germany. But the stance is easy, not tight.

Most encouraging are the signals of rising investment spending: the BLS points to demand for loans for fixed asset investment, the flow of long-term loans to corporates has been a little volatile but hints at investment spending, and the rise in German industrial orders from elsewhere in the euro area has historically been consistent with a euro area investment cycle too.

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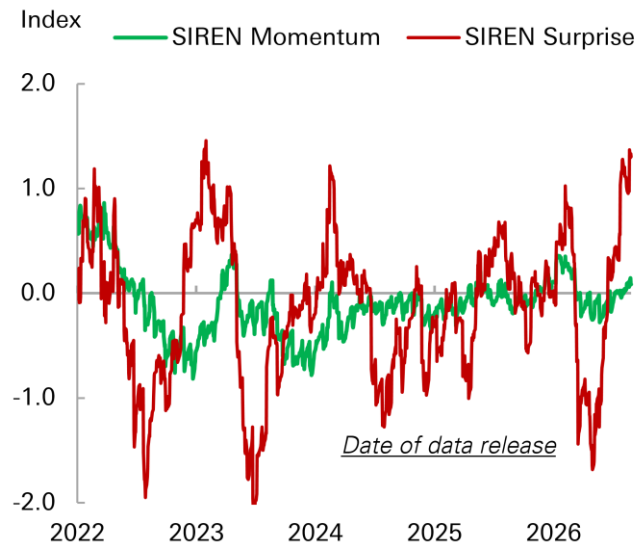
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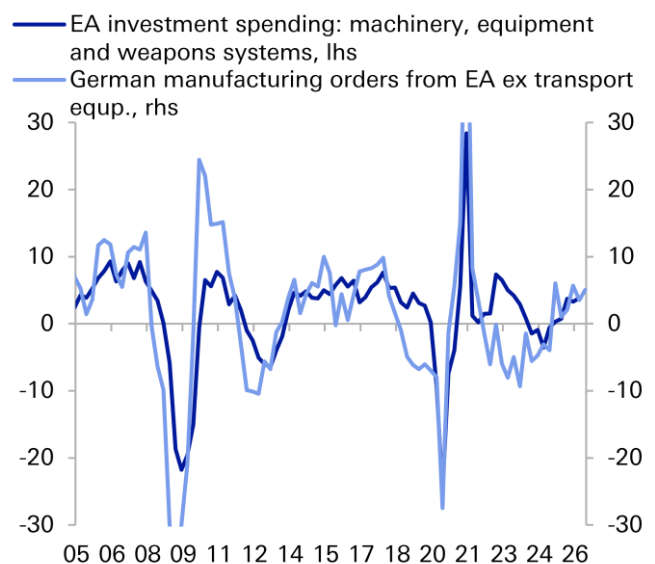


Figure 1: Euro area activity data showing strong surprises and building momentum



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 2: Encouraging signals of a capex cycle building



Source: Eurostat, German Federal Statistics Office, Haver Analytics LP, Deutsche Bank Research

We need to be careful. We might be seeing the lagged transmission of the earlier ECB rate cuts. Private sector balance sheets are healthy, which would aid transmission. Maybe structural demand from AI investment and defence spending is offsetting higher energy costs and geopolitical uncertainty.

In short, maybe what Europe is facing is a positive demand story, not just a negative supply story. Having quickly dropped to 48.8 in April, the composite PMI rose to 52.1 in August and might have been higher were it not for heat-related headwinds in services.

That said, there are reasons to be cautious about growth.

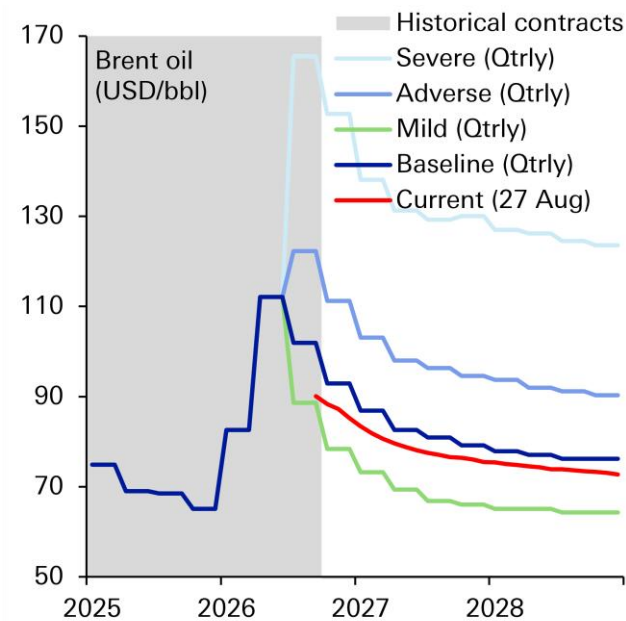
The energy shock is not over. Gas prices have reached a new high for the year, raising the prospect of an electricity-based production cost shock to add to the existing oil-based transport cost shock.

The energy shock might also be masked by temporary factors like stock-building. The shock in the Middle East went beyond energy into chemicals and metals. There was a threat to global supply chains. Fear of disruption might have triggered stock-building, which might explain why manufacturing has held up.

There is no evidence of domestic inventory building. But Europe might have benefited from temporary stock-building in its export partners. This might help explain export resilience.

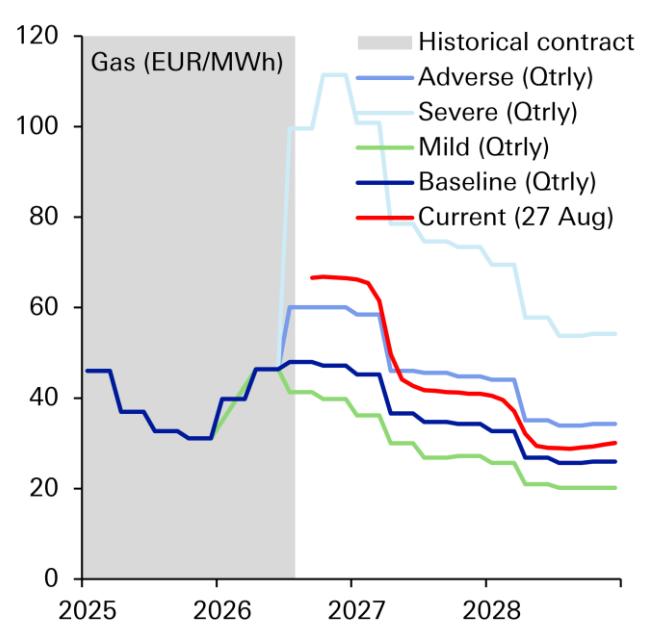


Figure 3: Oil prices vs. ECB baseline and alternative scenarios



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 4: Gas prices vs ECB baseline and alternative scenarios



Source: Bloomberg Finance LP, Deutsche Bank Research

AI investment spending should keep rising. But the AI spending boom might be less beneficial for GDP than it appears, however, as Europe's AI-related trade deficit is widening as both AI-related exports weaken and AI-related imports grow.

Monetary policy is tightening too, which will restrain growth with a lag (see our latest review of upstream and downstream financial conditions [here](#)). Concerns about sovereign debt sustainability could generate additional growth-sapping risk premia.

Finally, competitiveness remains weak and the Second China Shock and increasingly direct competition with China could weaken European production and employment.

The bottom line is the economy has been remarkably resilient to the energy shock so far and our euro area GDP forecasts are probably too low at 0.5% in 2026 and 1.1% in 2027 (our German team have raised their 2026 forecast from 0.5% to closer to 1.0%).

Q2: Will the ECB stop at 2.50% or continue hiking until policy is restrictive?

Since early March we have been expecting the ECB to hike twice (Jun and Sep), raising the policy rate to 2.50%, the upper end of the range of neutral. This felt like good risk management. It signals the ECB commitment to price stability on the one hand without overly burdening economic growth in the context of a negative supply shock on the other.

If growth was weakening amid a supply shock, inflation expectations were comprehensively anchored and data showed no risk of energy price pass-



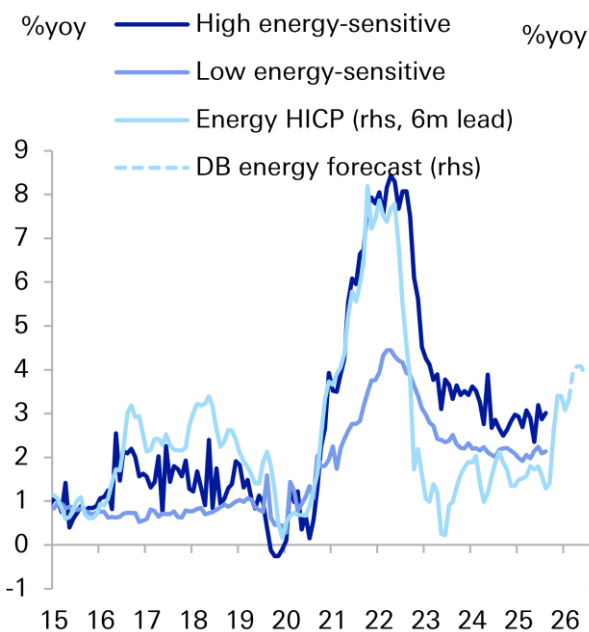
through, it would be easier to call into question the ECB's decision to hike rather than "look through" this energy supply shock.

In the round, the data, the ECB messaging (even this week Isabel Schnabel said the market "very well" understands the ECB reaction function, repeating what President Lagarde said in the July press conference) and the lack of resolution in the Middle East and still elevated energy prices mean a hike to 2.50% in September seems all but certain. Indeed, this is the impression from the July ECB Accounts. The question is, will the ECB stop there?

There are two scenarios in which the ECB hikes to 2.75%.

In one scenario, the ECB concludes that the upper end of the range of neutral is 2.75% rather than 2.50%. The persistent strength of credit growth in recent months despite higher lending rates and despite banks saying that lending standards are tightening might reveal that neutral is higher than expected. The scale of fiscal easing, even if led by Germany, could push r^* higher. If this is right, the hurdle to raising policy rates to 2.75% might be lower than assumed and might not need strong or clear evidence of indirect or second-round inflation.

Figure 5: Maybe it's too soon to expect indirect energy effect to show up



Source: Eurostat, Haver Analytics LP, Deutsche Bank Research

Figure 6: The credit impulse is consistent with a robust domestic economy



Source: ECB, Eurostat, Haver Analytics LP, Deutsche Bank Research

The argument is not one-sided. The strength of credit growth might reflect the lagged transmission of the earlier cuts rather than a higher neutral rate. In any case, our composite indicator of restrictiveness, based on a range of data that might reveal neutral, says that policy was still mildly restrictive in mid-2026 when the ECB started to hike. If that's right, it might be more difficult to argue 2.75% is still within the range of neutral.

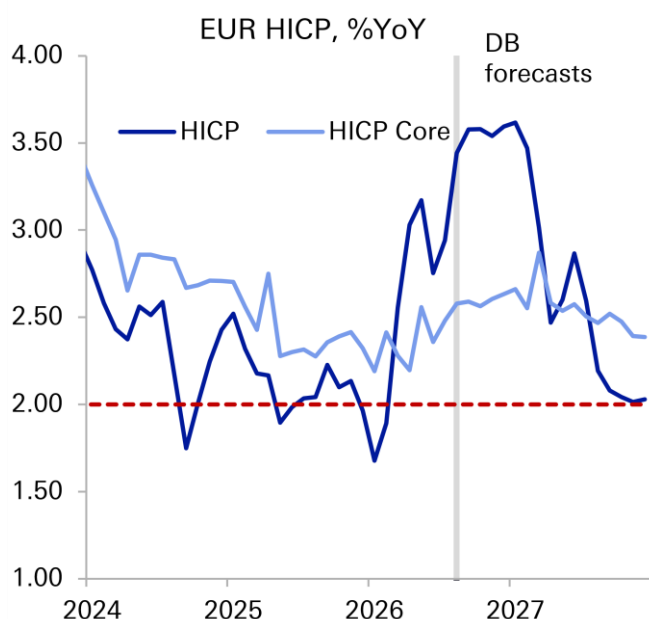


The other scenario for getting to 2.75% (or higher) is the ECB decides that a restrictive policy stance is appropriate. In the ECB's current framework, this means moving from a "measured" tightening to a "forceful" tightening. This requires the ECB to believe that the inflation shock is moving from a 'large but not too persistent' shock to a 'more significant and sustained overshoot of the target'.

There are different routes to believing in a more significant and sustained overshoot of the inflation target.

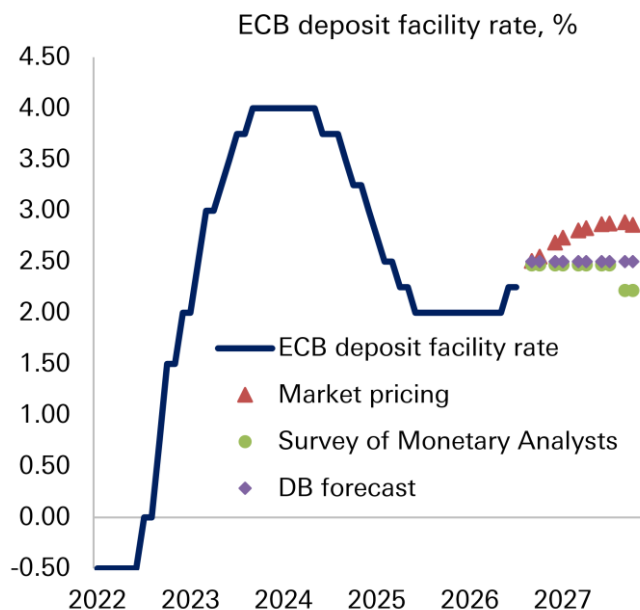
One would be if energy prices remain at elevated levels for longer than expected. Oil prices are in line with baseline, but gas prices are more consistent with the adverse scenario (at least in the near term). Given the lagged transmission of rising gas prices into inflation, this could add persistence to the headline HICP shock, lengthening the period during which energy inflation could spillover into core.

Figure 7: Headline and core HICP: DB forecasts



Source: Eurostat, Haver Analytics LP, Deutsche Bank Research

Figure 8: ECB policy rates: Market priced hikes to 2.75-3.00%



Source: ECB, Bloomberg Finance LP, Deutsche Bank Research

Another way would be if larger than expected indirect effects and in particular second-round effects materialised. So far, there is no compelling evidence of indirect effects and no evidence of second-round effects. However, both would only materialise with a lag. For example, it was six months before high energy-sensitive core HICP started rising in the 2022 shock.

A third way would be if stronger growth added persistence risk to inflation. The recent resilience of growth would add to this risk if it lasts. That said, if AI lifts productivity, the additional growth might not be as inflationary.

How the ECB staff forecasts change in September will be very important to the outlook for monetary policy. In June, the baseline forecast had core HICP



averaging 2.5% in 2027 and staying at least 30bp above target through the year. Importantly, however, headline HICP was expected to be back down to the 2% target from Q3-27 and stay there through to the end of 2028.

It is important to remember the baseline staff forecast in June was conditioned on policy rates rising to 2.75%. But despite sticky core inflation, it is difficult to imagine monetary policy tightening much further if headline inflation is sustainably returning to target within a year.

As such, the near-term path for policy could depend critically on whether the Governing Council believes core inflation will converge down to headline in the medium term or headline converges up to core. The former is less hawkish, the latter is more hawkish.

Which of these two outcomes seems more or less likely to the Governing Council will depend on how it judges the risk of inflation persistence. This is a function of pricing power, bargaining power and purchasing power. Our view is there is some risk of persistence, but not as much as 2022 and not enough to warrant an outright restrictive policy stance. Not yet, at least.

Our 2.50% baseline might be too optimistic, but 3.00% feels too restrictive. 2.75% is a grey zone: a non-negligible possibility unless the situation in the Middle East is resolved quickly and energy prices normalise rapidly. Our work on policy rules shows that the ECB 'baseline' scenario macro forecasts are consistent with 2.75%. The 'milder' scenario forecasts are consistent with 2.50%.

There may not be any new policy signals from the ECB at the Jackson Hole symposium. Unlike in the past, there is no global policymaker panel. Isabel Schnabel is the ECB member on the official agenda – speaking about tokenized finance. However, markets will be on the watch for press interviews by ECB attendees.

Q3: Will public finances and elections prove a destabilising combination?

The environment around European public finances is becoming more challenging for a number of reasons. Government bond markets are under pressure globally, driven currently by the US. The 'i minus g' gap at the heart of debt dynamics is becoming less favourable as the benefits of the low rates regime of the last decade expire, amplified by rising inflation risk, tighter monetary policy, rising term premia and generally low rates of economic growth.

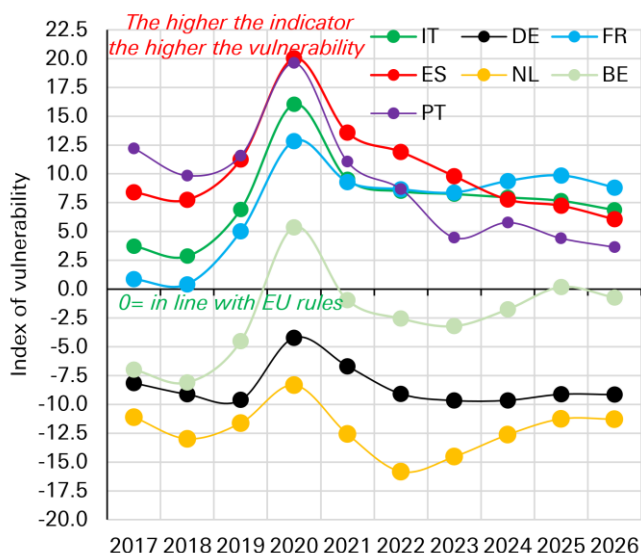
At the same time, public debt to GDP ratios have not returned to pre-pandemic levels, fiscal vulnerability is elevated even when accounting for improved external balances, and European governments are facing numerous spending demands, from defence and energy to climate change and technology.

The combination of more vulnerable public finances and elections in several significant member states over the next 12 months creates the potential for tighter financial conditions. National elections lie ahead in Italy, Spain, Greece, Finland, Estonia, Poland and, perhaps most consequentially, in France. Financial conditions are well-behaved so far (the ECB's state-of-the-art Macro-Finance FCI has hardly tightened). The degree of tightening of financial conditions going



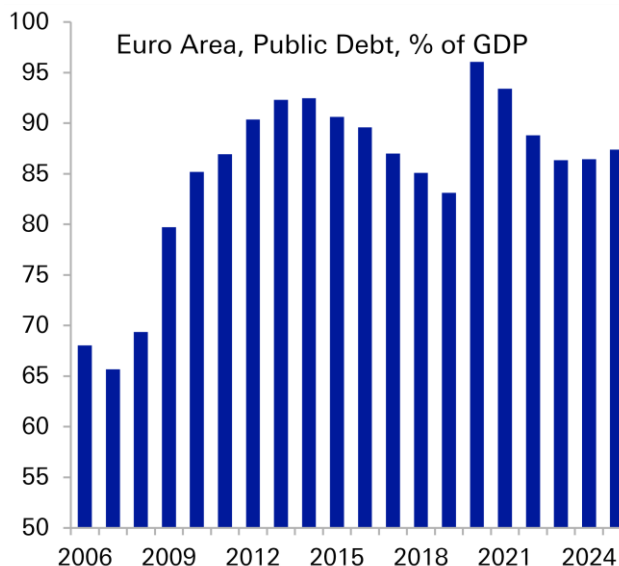
forward will be a function of the fiscal policy choices made by governments, the resilience (or not) of growth and the restrictiveness (or not) of ECB policy.

Figure 9: DB fiscal vulnerability indicator incl. net external position – France most vulnerable



Source: European Commission, Deutsche Bank Research

Figure 10: Public debt remains high and above pre-pandemic levels



Source: European Commission, Deutsche Bank Research

With regard to France, the opinion polls say that Rassemblement National (RN) has a credible path to winning the Presidency with Marine Le Pen. If that happens, there is a good chance an early legislative election will be called too.

OAT markets have been on edge since President Macron's ill-judged legislative election in 2024 resulted in a deeply divided parliament with little capacity to drive strong fiscal consolidation. On the basis of what is known at the moment, there is a lack of a credible consolidation trajectory in the RN fiscal plans. Even under moderately optimistic assumptions about consolidation, France's debt ratio will likely remain broadly flat in the range of 120-125% of GDP over the next decade. A flat trajectory means vulnerability to any new negative surprises on growth, funding costs and/or deficits – and as we have said before, the deficit is under pressure from inflation (indexed spending), legacy policy decisions (stalling the pension reform), defence, ageing, etc.

Much will depend on the course of French fiscal policy, particularly RN's fiscal policy. This could be revealed in three distinct stages over the year ahead.

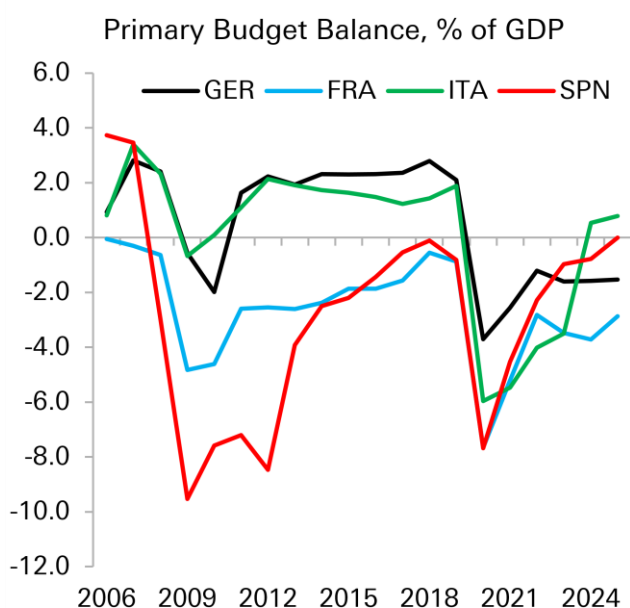
- **The 2027 budget.** The incumbent Lecornu government needs to have a budget agreed by year-end. A deeply divided parliament and approaching election will make strong consolidation difficult. Importantly, however, RN is signaling that it won't oppose a budget. The alternative ("special law") would mean a less stable financial position in 2027. RN would prefer to have some breathing space if it is elected.
- **The election campaign.** This will reveal more about RN's fiscal plans. The limited details available so far imply a wider deficit. However, RN's fiscal



identity is unclear and RN President Bardella's admiration for Italy's market-friendly fiscal stance under PM Meloni suggests an understanding of the benefits of a stable bond market. The extent of the RN's intention to challenge Brussels will be important too. This could influence market confidence in the availability of European backstops (ECB TPI, ESM, etc).

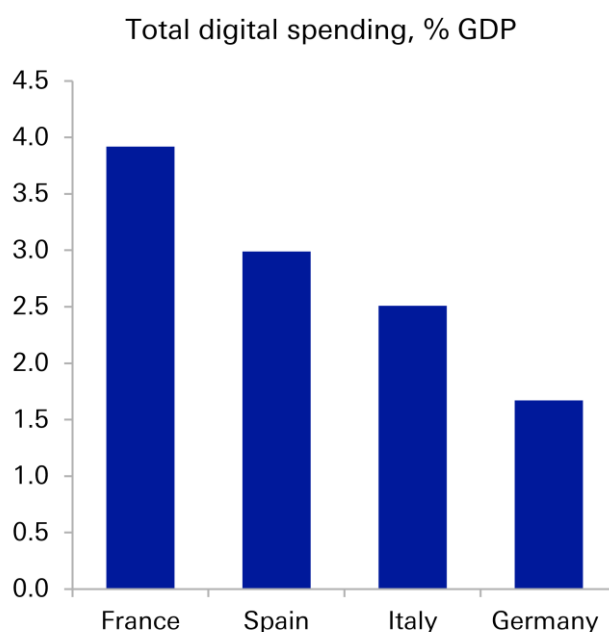
- **Post-election decisions.** Assuming an RN President would dissolve parliament in the spring to trigger legislative elections by the summer, the first task for the new parliament would be the preparation of the 2028 budget. This assumes a budget for 2027 has already been passed. If France is operating under a special law, a 2027 budget would take immediate precedence. These would reveal RN's fiscal plans and their consistency with EU rules.

Figure 11: France has the largest primary deficit among the Big4...



Source: European Commission, Deutsche Bank Research

Figure 12: ...but France might have better growth prospects, helped by AI (digital investment spending)



Source: Eurostat, Deutsche Bank Research

Counterbalances. France will be the focal point for the market. As we have argued (here, here and here), the key theme for investors is not outright regime change, but a constant, volatility-inducing push and pull between RN's political objectives – shifting in places – and the fiscal, legal, and market constraints that would ultimately shape its capacity to govern. The push for political change will generate friction.

There are several buffers that could help keep the country off the more challenging paths.

- **The market is already pricing weak fundamentals.** French yields have been gradually adjusting to these weak fundamentals over the last couple



of years. For example, the current yield already anticipated further credit downgrades.

- **Robust banking.** French banks are well-capitalised and unlike the crisis-hit periphery a decade and a half ago hold relatively little direct exposure to OATs. As a global safe asset, OATs are widely held abroad.
- **Backstops.** Unlike the sovereign debt crisis 15 years ago, there are backstops in place. For example, the ESM can lend to crisis-hit member states and the ECB can intervene in the market for eligible member states with TPI. If foreign investors offload OATs in scale, the French banks have some capacity. However, as bank exposure increases, the potential for a more destabilising sovereign/banking doom-loop would increase.
- **Economic growth.** There are several reasons why French economic growth could outperform its peers and help stabilise debt. One is AI. Among the larger member states, France is spending the most on digital investment and was the only EU member state to launch a notable AI model in 2025 (50 in the US). France is also relatively more exposed to defence production, and among the larger EU member states has relatively favourable demographics.



Appendix 1

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